

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

Sunny has been working as a truck driver for Quick Service Company Limited ("QSL") for the past year. His main duty is to transport QSL goods to customers according to instructions given by QSL. Sunny is not paid a monthly salary. QSL does not have any obligation to assign any work to Sunny, and Sunny does not have any obligation to take up work assigned to him by QSL. When Sunny is assigned work on a particular day, he is paid a daily wage and a commission based on the quantity of the goods delivered. The truck Sunny uses to transport goods is owned and maintained by QSL, and Sunny is reimbursed for the petrol consumed by the truck when he delivers goods for QSL. Sunny must use the route prescribed by QSL and must seek permission from QSL if he wishes to use another route. For the last two months, Sunny has not received from QSL the wages owed to him. The total amount owed to Sunny is HK\$22,000, and this amount has already been overdue for more than two months. When Sunny asked Mary, the manager of QSL, about the outstanding wages last week, Mary said that QSL was undergoing financial difficulty and he should wait patiently.

Required:

- (a) Apply the employment law of Hong Kong with reference to relevant case law, and analyse the employment status between Sunny and QSL.
(10 marks)
- (b) On the basis of your answer in part (a), analyse which court/ tribunal has jurisdiction to deal with Sunny's case, and describe the jurisdiction of the court/ tribunal if Sunny's claim involves an amount of HK\$22,000.
(5 marks)

Question 2 (15 marks – approximately 27 minutes)

Larry is a collector of vintage luxury watches of a few famous brands. He runs and operates a reputable antique shop called Wonderful Antiques ("WA"). Larry regularly checks the market value of each watch in his shop. One of Larry's friends, Winnie, has expressed a strong interest in buying a vintage watch (the "Vintage Watch") displayed in his shop which is without a price tag. On Christmas Eve last year, Larry offered the Vintage Watch to Winnie via email at the market price of HK\$200,000. Winnie replied by email on Christmas Day that she could only afford to pay HK\$140,000 for the Vintage Watch. Larry did not reply to Winnie's email sent to him on Christmas Day. Winnie then sent a second email to Larry on Boxing Day to tell him that she would be willing to pay HK\$200,000 for the Vintage Watch. Larry refused to sell the Vintage Watch to Winnie. Winnie was very disappointed and wondered whether Larry could refuse to sell her the Vintage Watch at HK\$200,000.

Subsequently, Larry sold the Vintage Watch to Mrs. Lee, the aunt of his girlfriend, Susan, at HK\$120,000 in order to please Susan.

Mrs. Lee was very pleased and introduced her rich friend, Mrs. Money, to Larry. Mrs. Money bought the most expensive watch (the "Expensive Watch") available at WA.

Recently, Larry broke up with Susan and he now regrets having sold the Vintage Watch to Mrs. Lee for HK\$120,000, which was significantly below the market price. He now wants to find out whether she must pay the market price for the Vintage Watch from a legal point of view.

A week ago, Mrs. Money received a call from the police and was told that the Expensive Watch she had bought from WA was stolen goods. Mrs. Money was very surprised to learn that the Expensive Watch was stolen goods because WA is known to be a reputable antique shop. Mrs. Money is wondering whether she has to surrender the Expensive Watch to the true owner, Mr. Wealthy.

Required:

- (a) Apply contract law and analyse whether Larry was bound to sell the Vintage Watch to Winnie when she sent the second email to Larry on Boxing Day last year to tell him that she would be willing to pay HK\$200,000 for the Vintage Watch.**

(5 marks)
- (b) Apply contract law and analyse whether the price of HK\$120,000 which Mrs. Lee paid for the Vintage Watch is valid consideration.**

(5 marks)
- (c) In relation to the law of the sale of goods, analyse whether Mrs. Money must surrender the Expensive Watch to its true owner, Mr. Wealthy.**

(5 marks)

Question 3 (15 marks – approximately 27 minutes)

Eric is the sole shareholder and sole director of Good Wear Company Limited ("GWL"), which was set up in Hong Kong more than 20 years ago to operate a sports wear manufacturing business. Since his daughter Jenny graduated from university last year, Eric has allowed her to act as a director in GWL although she has never been formally appointed as a director. Jenny loves cars and has already bought two cars from a car dealer known as High Speed Company Limited ("HSL") in the name of GWL. These two cars have been duly paid for by GWL. Last week, Jenny placed an order for an expensive sports car with HSL again. Eric was shocked when he saw the invoice and refused to pay for the sports car. Eric told HSL that Jenny had never been appointed as a director of GWL and she had no authority to enter into contracts with any third parties.

A few months ago, Eric began to consider selling the business of GWL because he wanted to retire. He wanted to know how much his business was worth and decided to engage an accounting firm, Reliable CPA & Co ("RCC"), to compile a business valuation report (the "Report") for his business, without mentioning his intention to sell his business.

Tommy, the accountant who was assigned by RCC to compile the Report, negligently omitted to take into account a number of liabilities of GWL, which resulted in an over-valuation of GWL's business. Upon the completion of the Report, Eric passed the Report to Richard, an interested buyer who relied on the contents of the Report and subsequently bought Eric's business. Not long after having bought Eric's business, Richard realised that GWL's business was considerably overvalued and decided to seek legal advice on whether Richard could hold RCC liable for the misstatement in the Report.

Required:

- (a) In relation to agency law, analyse whether GWL is liable to pay for the expensive sports car ordered by Jenny.**
(5 marks)
- (b) In relation to the tort of negligence, analyse whether Richard is entitled to hold RCC liable for negligent misstatement in the business valuation report.**
(10 marks)

Question 4 (15 marks – approximately 27 minutes)

- (a) Amanda has just resigned from her position as a designer of a fashion company. She is now thinking of setting up a partnership to run a fashion design business with her best friend, Susanna, who has told her that it is easy to set up a partnership. However, Amanda does not know much about the legal implications of running a partnership and wishes to seek legal advice on the duties owed by a partner to other partners and the liabilities of partners of a partnership under the partnership law of Hong Kong.
- (b) Recently, Amanda received a call from a former secondary schoolmate, Rocky, whom she has not seen for more than ten years. Rocky has asked Amanda to send him details of her bank account so that he can deposit HK\$1 million into her bank account. Rocky said that as soon as Amanda receives the money, she must transfer the money to three of his friends namely Adam, Eve, and Joe. Rocky has promised to give Amanda HK\$80,000 as a reward if she agrees to do this for him. Amanda does not know Adam, Eve, or Joe, and Rocky cannot give her a good explanation for why Rocky has to deposit such a substantial amount into her bank account instead of into his own.

Although Amanda knows that this amount of HK\$80,000 would be useful for setting up her business, she is worried about the possible criminal liability she may incur by doing this for Rocky.

Required:

- (a) In relation to partnership law, explain to Amanda the duties owed by a partner to other partners and the liabilities of partners of a partnership under common law and the Partnership Ordinance (Cap.38).
(10 marks)
- (b) In relation to anti-money laundering laws of Hong Kong, including common law and the Organized and Serious Crimes Ordinance (Cap.455), analyse whether Amanda might commit any criminal offence by doing what Rocky has asked her to do.
(5 marks)

Question 5 (20 marks – approximately 36 minutes)

Alvin and Kelvin are brothers and have been operating a successful restaurant business via a limited company, Huge Profits Company Limited ("HPL"), since its incorporation five years ago. HPL has adopted the Model Articles for Private Companies Limited by Shares as its Articles of Association.

When HPL was set up, Alvin and Kelvin each subscribed 10,000 shares and were both appointed as directors of HPL. It was agreed that both Alvin and Kelvin would jointly run and manage the restaurant business. Alvin was put in charge of the day-to-day operations, and Kelvin was responsible for the corporate and investment strategies of the restaurant business. Both Alvin and Kelvin have been drawing HK\$80,000 a month as director's fees since the incorporation of HPL.

A year ago, Kelvin's son, Kenny, graduated from university and wished to take part in the restaurant business. Alvin agreed to appoint him as a director, and he even transferred 5% of his shares in the Company to Kenny at the request of Kelvin because Alvin was childless and considered Kenny as his own son. It was agreed that Kenny would be given HK\$80,000 a month as director's fees as well.

Not long after Kenny's appointment as a director of HPL, Kenny was given a substantial increase in his director's fees despite Alvin's opposition. Subsequently, Alvin was removed from his directorship by an ordinary resolution in a general meeting despite his strong objections. Kenny then took over the operation of the restaurant business and Alvin was kept in the dark as to what happened to HPL. Alvin was extremely upset.

Alvin is now considering seeking legal advice on how to protect his rights as a minority shareholder.

Required:

In relation to company and winding-up laws of Hong Kong:

- (a) Analyse whether Alvin is entitled to petition to the court for unfair prejudice remedies.**

(10 marks)

- (b) (i) Explain to Alvin the grounds for winding up a company; and**

- (ii) Analyse whether Alvin is entitled to petition to the court for the winding-up of HPL.**

(10 marks)

Question 6 (20 marks – approximately 36 minutes)

Allan and Elsa have been actively involved in the design of innovative intelligent security systems for the protection of digital data since the incorporation of their company, Excellent Performance Company Limited ("EPL"), a few years ago. Allan and Elsa are the only shareholders and directors and have been doing extensive research and development in relation to their business. EPL owns valuable intellectual property rights and has experienced high growth in the last few years. Allan and Elsa wish to further expand their business and are thinking of getting the company listed on the Main Board of the Hong Kong Stock Exchange and offering shares of the company to the public. They are of the view that they need to continue to retain management control of EPL after the listing of EPL, should they be able to get EPL listed, because EPL owes much of its success to their expertise.

Recently, Allan and Elsa have sought legal advice on the listing of EPL. They have been told that they would have to convert their private company into a public company. Furthermore, they have also been told that they may be able to retain control of the company after listing by means of the Weighted Voting Right ("WVR") Structure.

Required:

- (a) In relation to company law of Hong Kong, explain to Allan and Elsa how to convert a private company into a public company. (10 marks)
- (b) In relation to the Listing Rules of the Hong Kong Stock Exchange, describe the Main Board listing requirements for the purpose of listing a company with a WVR Structure on the Hong Kong Stock Exchange.

Note: You are not required to discuss company law.

(10 marks)

* * * END OF EXAMINATION PAPER * * *